In 1994–95 budget, full convertibility in current account was introduced. But this was not satisfactory to the IMF. So government introduced further relaxations in August 1994. India got affiliation to the Article VIII of IMF.

Capital Account Convertibility

Capital account convertibility means the freedom to convert home currency into foreign currency regarding transactions in capital account.

The committee on fuller capital account convertibility observed as follows: "For the purpose of this committee, the working definition of CAC would be as follows: CAC refers to the freedom to convert local financial assets into foreign financial assets and vice versa. It is associated with changes of ownership in foreign/domestic financial assets and liabilities and embodies the creation and liquidation of claims on, or by, the rest of the world. CAC can be, and is, coexistent with restrictions other than on external payments."

Fuller capital account convertibility does not mean 100 per cent freedom. There will be some restrictions. That is why committee on fuller capital account convertibility observed as above.

To bring capital account convertibility, the Government of India formed Capital Account Convertibility Committee – 1 (1996) and Committee on Fuller Capital Account Convertibility II (2006).

Capital Account Convertibility Committee

This committee was formed under the chairmanship of S.S. Tarapore the then deputy governor of RBI. It gave green signal to introduce Capital Account Convertibility. It recommended the introduction of CAC in a phased manner throughout the period of 1997–2000.

Government accepted it but, the East Asian crisis halted its implementation.